

However, if the DSI had increased in finished goods, it would have been a bigger problem. It would mean that the company is facing challenges in the sale of its finished goods or distribution channels are packed.



To understand inventory in a holistic manner, we need to answer the following questions which are subjective in nature. These are:

Does the Inventory go Bad?

One of the most important questions to ask when talking about inventory is its shelf life? When does the inventory become obsolete? For instance, in the fashion industry, inventory loses its value with time due to changes in trends. But, in case of Pidilite Industries, the raw material will not become obsolete as it is crude oil. Also, the finished product has a longer shelf life.

In certain industries, shelf life of industries is a problem and this leads to large and frequent inventory write-offs. Inventory increase in such companies or industries can be even bigger problems.



Check historical inventory sticks and stock crisis

We need to check the history of the company about how often the company has had to write off large chunks of inventory.

